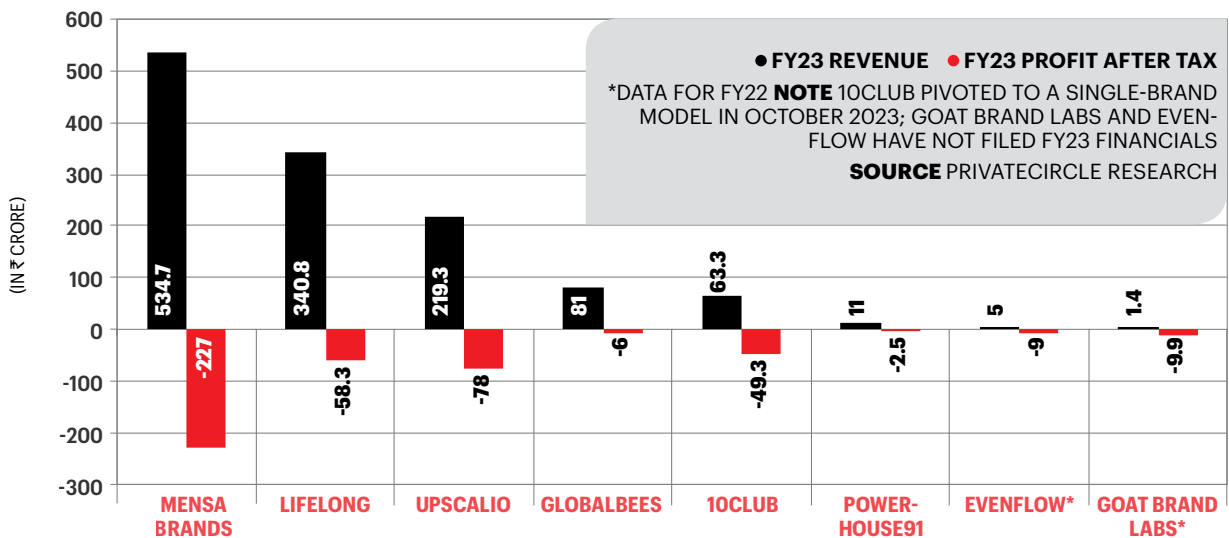


TRACKING THE FINANCIALS

● No roll-up start-up has turned profitable to date ● Mensa Brands led FY23 revenue with ₹534.7 crore



play where the company will have full control over the design, manufacturing, and retailing of the brand. “We are not looking at building a portfolio of 10-20 unrelated brands. We will build our brands very deep. If you have a clear control over the value chain, you can build a strong gross margin business,” he says.

Roll-ups, having learnt some hard lessons, are now striving to find this elusive focus. Some are exploring potential suitors for a lifeline while merging adjacent brands and cutting down non-scaling brands; some are considering abandoning the roll-up structure to embrace a brand or D2C route like 10Club; while financially well-positioned companies are aggressively optimising operations, cutting costs, consolidating brands with clear synergies, and focussing on categories with high customer returns. Roll-ups, according to experts, will need to adopt a true multi-channel distribution strategy encompassing online, offline, single-brand, and multi-brand retail. “The Indian market is fierce, and customers are highly price sensitive. Major brands often dedicate approximately 30% of their revenue to marketing. Notably, these investments are crucial for acquired brands as well. Failure to provide proper marketing support to acquired brands can lead to a quick decline in brand recall, jeopardising growth and potential returns,” says Grant Thornton’s Malpani.

Category leaders Mensa and GlobalBees have shored up large amounts of VC capital, giving them a clear advantage. Considering the current scrutiny of the business model and the absence of significant outcomes in terms of ventures or exits, future investor interest in this segment remains uncertain, even as overall fund-

ing environment is expected to improve over time.

“In my view, the sector will go two ways. One, brands with synergistic categories will look at getting down the brand route so that they can not only realise synergies in the back end but also in the front end. Two, there will be companies that continue to go down the route of acquisitions, but not how they used to,” says Singh of Fireside Ventures. “Instead of doing acquisitions all the time, there will be time windows when they will acquire, windows where they will just hunker down and consolidate, and windows where they will jettison parts of their portfolio that are not making sense,” he adds.

Gutgutia sees a wide open field for building brands, so it’s not a winner-takes-all game. India sees annual sales ranging from ₹55,000-65,000 crore from new-age brands, spanning both online and offline. Nearly half of this revenue stems from emerging brands, operating below a certain scale and seeking assistance to scale up, which, Gutgutia says, indicates significant growth potential. However, as models evolve, he suggests that the term ‘roll-up’ may soon give way to a more meaningful descriptor in the Indian context. “Roll-up is a very Thrasio-centric term that may not be applicable in the Indian context. Given that the India model is so different or at least evolving towards something different, new jargon needs to be created, a more relevant one,” he says.

Navigating possibly its most tumultuous phase, this space finds itself back at day one, waiting to be shaped by the winning models. And, champions of this transformational phase will create the future nomenclature. **BT**

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